

A PENNORTH FIELD GUIDE

7 Mistakes That Make Benefits Harder Than They Should Be

And what a real benefits system does instead.

Benefits should not take over your day. When there is no system behind them, small gaps turn into higher costs, confused employees and a renewal you dread. Here are the seven most common gaps, and how to close each one.

Rising costs. Compliance worries. Confused employees. HR overload. Renewal stress.

Every mistake here has one root.
The cost of doing nothing.





01 THE COST OF DOING NOTHING

Treating rising costs as something you just absorb

91% of HR leaders say rising benefit costs are a top concern.

Origin 2025 Global Benefits Intelligence Report.

The mistake is not worrying about cost. It is waiting until renewal to deal with it, when your choices are already narrow. The real drivers, claims patterns, plan design and utilization, usually go unexamined all year.

WHAT A SYSTEM DOES INSTEAD

- Uses your own data and benchmarking to see increases coming.
- Manages spend all year, not just in the renewal window.
- Turns cost from a yearly surprise into a plan you control.

YEAR-ROUND STRATEGY & BENCHMARKING · AI-POWERED INSIGHTS





02 THE COST OF DOING NOTHING

Settling for a one-size-fits-all plan

65% of employees would trade their current benefits for more personalized choice. Only 14% of companies are set up to offer it.

Aon 2025 Global Benefits Trends Study.

Your team is not average, so an average plan fits no one well. Age, industry, location and culture all change what people actually need. A generic plan is faster to buy and quietly leaves value on the table.

WHAT A SYSTEM DOES INSTEAD

- Starts with your workforce data, not a template.
- Asks your employees what they actually need.
- Benchmarks against real peers, then builds a plan that grows with you.

YEAR-ROUND STRATEGY & BENCHMARKING · EMPLOYEE EDUCATION





03 THE COST OF DOING NOTHING

Accepting benefits overwhelm as normal

Only 69% of employees feel they understand their medical benefits. For voluntary benefits it drops to 39%.

LIMRA and Benefitfocus, 2025 State of Employee Benefits.

When HR carries all of it alone, the day disappears into questions and paperwork. Strategy stalls. Good people burn out. Overwhelm is a sign the load is in the wrong place, not a sign anyone needs to try harder.

WHAT A SYSTEM DOES INSTEAD

- Acts as an extension of your team, so HR is not the only source of answers.
- Gives employees self-service tools for everyday questions.
- Runs renewals and enrollment on a clear plan, and takes COBRA off your plate.

HR HERO · EMPLOYEE NAVIGATOR · COBRA ADMINISTRATION





04 THE COST OF DOING NOTHING

Only paying attention to benefits at renewal

The rest of the year, small problems grow quietly. By renewal, the options to fix them are limited and costly.

Benefits need attention in every season, not one week in the fall. Without a year-round rhythm, costs creep, claims issues linger and employees stop asking questions because no one answers them.

WHAT A SYSTEM DOES INSTEAD

- Checks in through the year and flags issues early.
- Keeps a simple calendar so nothing is rushed.
- Answers employee and HR questions all year, not only at enrollment.

YEAR-ROUND STRATEGY & BENCHMARKING · HR HERO





05 THE COST OF DOING NOTHING

Flying blind on compliance

Benefits rules come with strict deadlines and real penalties. The costs add up fast when one step is missed.

\$3,340

PER EMPLOYEE, PER YEAR

Affordable Care Act (ACA) penalty when required coverage is not offered.

\$110

PER DAY

Employee Retirement Income Security Act (ERISA) penalty for a missed plan-document request.

\$73,011

PER VIOLATION

Maximum for a single Health Insurance Portability and Accountability Act (HIPAA) violation.

The penalties are only part of it. Missed rules also bring audits, lost employee trust and stress on your team. No one running a business should have to track this alone.

WHAT A SYSTEM DOES INSTEAD

- Keeps a compliance calendar for ACA, ERISA, COBRA and HIPAA deadlines.
- Has required notices and documents ready before they are due.
- Gives you a real person to call when a hard question comes up.

COMPLIANCE DASHBOARD · COBRA ADMINISTRATION

Figures: IRS Rev. Proc. 2025-26 (ACA, 2026); ERISA §502(c)(1); HHS 2026 HIPAA adjustment, effective January 28, 2026. Current as of July 2026.





06 THE COST OF DOING NOTHING

Letting benefits run separate from your HR systems

When benefits do not talk to payroll and HR, you do everything twice. Every re-typed entry is a chance for a costly error.

Disconnected systems create double work, mismatched records and a clunky start for new hires. No amount of hustle fully fixes a setup that was never connected.

WHAT A SYSTEM DOES INSTEAD

- Connects benefits to your existing payroll and HR tools.
- Makes enrollment and onboarding one smooth flow, not five.
- Keeps employee information consistent across every system.

EMPLOYEE NAVIGATOR





07 THE COST OF DOING NOTHING

Falling behind as the technology moves

Benefits technology keeps moving, from paper, to online enrollment, to connected systems, to smarter tools that personalize the experience. Standing still means slow enrollment and frustrated employees.

The point is not new technology for its own sake. It is having a partner who brings the right tools, helps you use them and keeps you a step ahead.

WHAT A SYSTEM DOES INSTEAD

- Brings modern, easy-to-use tools without a messy switch.
- Uses clearer communication so employees understand their options.
- Turns plan data into decisions, not just reports.

AI-POWERED INSIGHTS · CLEAR COMMUNICATION · EMPLOYEE NAVIGATOR





EVERYTHING YOU NEED TO MANAGE BENEFITS

Close all seven gaps with one partner. **Pennworth handles the work, provides the technology and helps you make better decisions all year.**

1

Spend less time on benefits.

EMPLOYEE NAVIGATOR

2

Stay compliant.

COMPLIANCE DASHBOARD

3

Get answers faster.

HR HERO

4

Take COBRA off your plate.

COBRA ADMINISTRATION

5

Make smarter benefits decisions.

YEAR-ROUND STRATEGY & BENCHMARKING

6

Catch problems before they become costly.

AI-POWERED INSIGHTS

7

Help employees understand their benefits.

CLEAR COMMUNICATION

8

Help employees choose the right benefits.

EMPLOYEE EDUCATION

INCLUDED

Everything is included at no additional cost.



THE REAL COST QUESTION

You do not need another quote. You need a system.

Avoid these seven mistakes and benefits stop taking over your day. The better question is not what a partner costs. It is what it is costing you to manage benefits without a system.

Pennworth is the benefits department you don't have to build.

Whatever you're facing, Pennworth is one partner for all of it.



Let's Talk.

See where your biggest gaps are. A 20-minute review can reveal them fast, even if you keep your current setup.

[Schedule a 20-Minute Strategy Zoom](#)



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